

The INDIAN RUPEE Is Soon GOING DIGITAL

Every other day, the lunch table conversation steers into murky waters like cryptocurrencies and central bank digital currencies. Some are for it, some are against, very few admit that it is all very confusing, while in fact, it is! Enjoy your dessert, while we give you a simple, no-tension rundown of the digital currency scene



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For the past couple of years, the Reserve Bank of India (RBI) has held a firm stance against cryptocurrencies, which are volatile in nature, have the potential to cause financial instability, and enable under-the-radar transactions. There are serious discussions going on about banning them.

On the other hand, in this year's budget, Finance Minister Nirmala Sitharaman announced that India would be launching its own central bank digital currency (CBDC) in the financial year 2022-23. She also went on to announce a 30% tax on gains made from any other

private digital assets like non-fungible tokens and cryptocurrencies.

Does that mean the government has regularised cryptocurrencies? To understand these developments, we need to start from the ABC, and understand cryptocurrencies, CBDCs, and everything in between.

Digital currencies, definitely desirable

"Money has changed in form throughout history. Essentially, money is a trust device between users who agree on some intrinsic value for that 'form' and then use

